

averaging down. My spreadsheet of trades calls it a perfect entry, maybe because of the big downward price spike that I was able to bite into.

The stock was trading at the time in the 2007 to 2009 bear market, which ended at the March 2009 low. Four days after the stock bottomed in March, I bought more. Now *that* was a perfect entry.

- Lesson: Buy close to the end of a bear market to reap big rewards.

Anyway, fast-forward to the head-and-shoulders top, which I show as turns CDE. The stock closed below the bottom of the pattern at G (a little black nubbin below the horizontal confirmation line), staging a downward breakout.

The next day, F, I sold the stock. Here's my notebook of the sale: "28 April 2010. Sell reason: Head-and-shoulders top. This has moved horizontally since March and has pierced support with a closing black marubozu candle. That suggests more down move ahead. Since this is near my 39 price target, I'm selling the earliest and higher priced shares. This also matches Weinstein's sell technique of tightening up the top when price moves horizontally. This is a good opportunity to reduce my utility holdings for diversification because as a group, I'm too concentrated in them. CCI [commodity channel index] says sell yesterday both on a crossover of the two lines and it sank below the 0 line. I'm toying with selling the entire position but believe this has more upside to it. So, I'll hold onto the rest. Price has closed below the neckline of a HST [head-and-shoulders top], too."